

Investment Recommendation: Movado Group, Inc. (NYSE:\$MOV)

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Executive Summary:

Movado Group, Inc. is a conglomerate specialising in watches from the “fashion” to “luxury” ranges. It’s core brand, Movado, has been going since 1881. It was taken over by the Grinberg family, and has been run since, acquiring other brands (Boss, Calvin Klein etc.) and licenses across the years. It went public in 1993, and is today ran by Efraim Grinberg.

It is a roughly \$600 Million revenue company with notable international presence (over half of sales outside the U.S). However, over the years, it’s EBITDA has been declining with COGS not faulting to adjust to falling sales.

We recommend, in the case of a takeover, an LBO majority with 70% ownership. The funding should come from 60% debt and 40% equity to keep the Debt/EBITDA reasonable.

We **DO NOT recommend** buying this company, primarily due to falling EBITDA, limited scaling possibilities, and high exposure to tariffs (c. 40% of market in U.S, with production entirely in tariff-exposed Switzerland).

Company Overview

Company Description

Movado Group Inc. is a global watch and accessories company operating in the consumer goods and luxury/fashion segment. The company was founded in **1881** and is headquartered in the **United States**, with operations across **North America, Europe, and Asia**.

Movado designs, sources, markets, and distributes a portfolio of **owned and licensed watch brands** through wholesale partners, company-owned stores, and e-commerce channels.

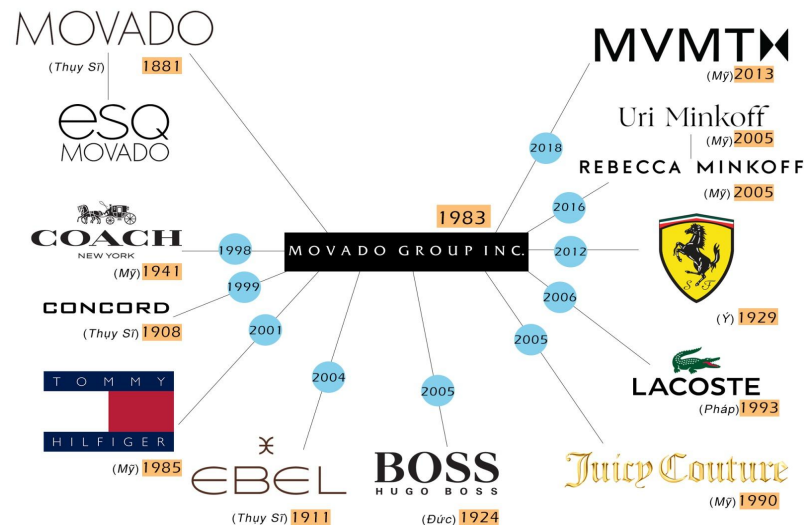
Public company: NYSE (MOV)

Market Cap: ~501.4M, **Share Price:** ~22\$

KPIs (in \$US('000s))

metric/year	FY 23 (2022)	FY24 (2023)	FY25 (2024)
revenue	751.898\$	664.389\$	653.378\$
EBITDA	126,396\$	58,114\$	\$29,327
D(yield)	5.21%	4.36%	4.75%

Main Brands

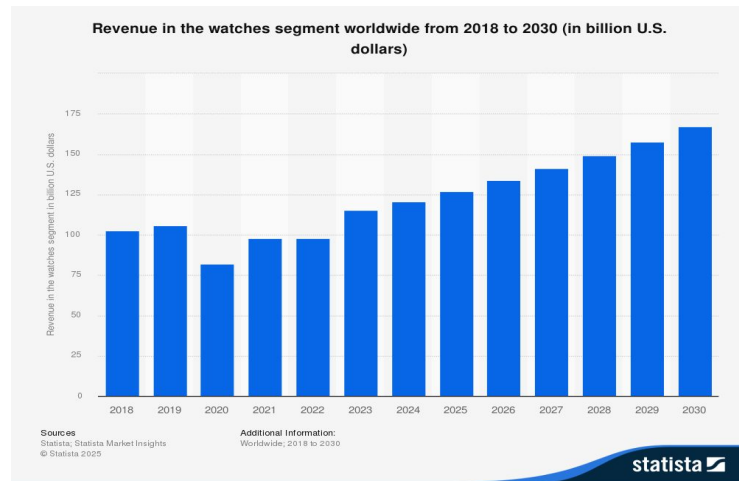


Movado is led by long-serving CEO and **Chairman Efraim Grinberg**, (son of conglomerate founder Gedalio Grinberg) which supports strategic continuity and dividend stability but also implies concentrated control.

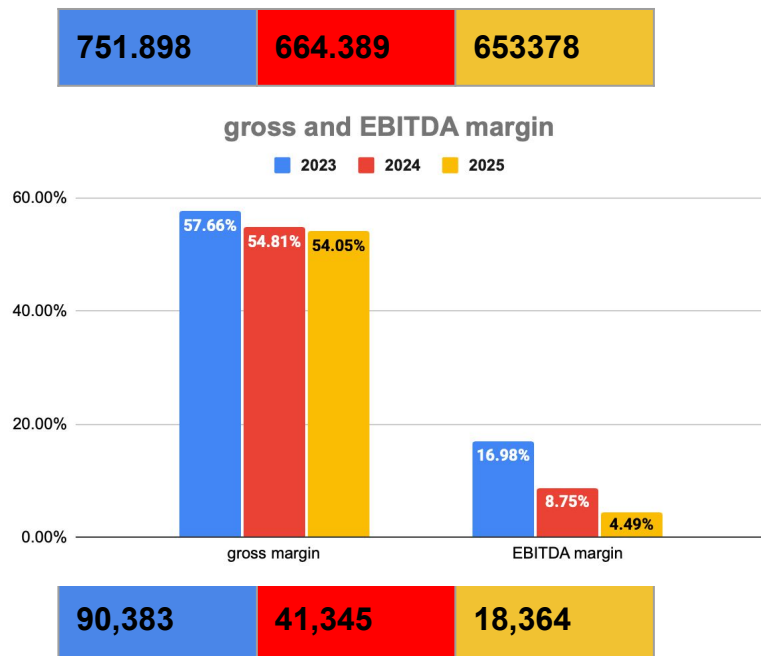
Investment Overview

Market Analysis

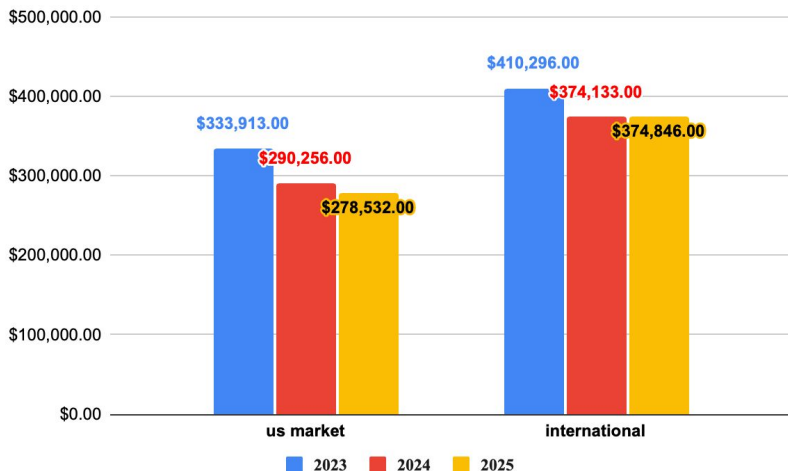
- **Mid-market focus:** Movado operates a hybrid platform across **Luxury, Accessible Luxury, and Fashion/Moderate** watch segments, intentionally avoiding **Exclusive (> \$10k)** and **Mass Market (< \$75)** categories, which are respectively capital-intensive and low-margin.
- **Portfolio model:** Combination of **owned brands** and **licensed global fashion brands** (Coach, Tommy Hilfiger, Hugo Boss, Lacoste, Calvin Klein), enabling coverage of multiple price points and demographics without reliance on a single brand.
- **Revenue mix:** Licensed brands represent **~55.9% of FY2025 net sales**, providing scale and diversification but creating **license renewal and counterparty risk** (key expirations 2026–2029).
- **Competitive structure:** Industry is **highly fragmented**; no single competitor spans Movado's segments (except Swatch Group). Competition driven by **brand equity, design relevance, pricing, marketing intensity, and distribution reach**, rather than manufacturing ownership.
- **Industry disruption:** Increasing penetration of **smartwatches (Apple, Samsung, Huawei)** creates structural substitution risk, particularly in **fashion and moderate price tiers**, pressuring traditional quartz demand.
- **Distribution model:** Multi-channel approach including wholesale (department stores, jewelry chains, independents), third-party e-commerce, direct-to-consumer websites, and **56 outlet stores in the U.S. and Canada**, supporting inventory management and margin recovery.
- **Geographic & sourcing exposure:** **~57.4% of revenue generated internationally**; over **80% of unit volume sourced from Asia (primarily China)**, exposing the company to tariffs, FX volatility, and supply-chain disruption.
- **Cyclicality & demand profile:** Watches are **discretionary, seasonal products**, with a disproportionate share of annual sales concentrated in the holiday-driven second half of the fiscal year.
- **Market takeaway:** Movado operates in a **mature, competitive mid-market watch industry** with stable demand but limited organic growth; value creation depends on **brand portfolio optimization, cost discipline, channel mix management, and license stability**, rather than market expansion.



Historical Performance

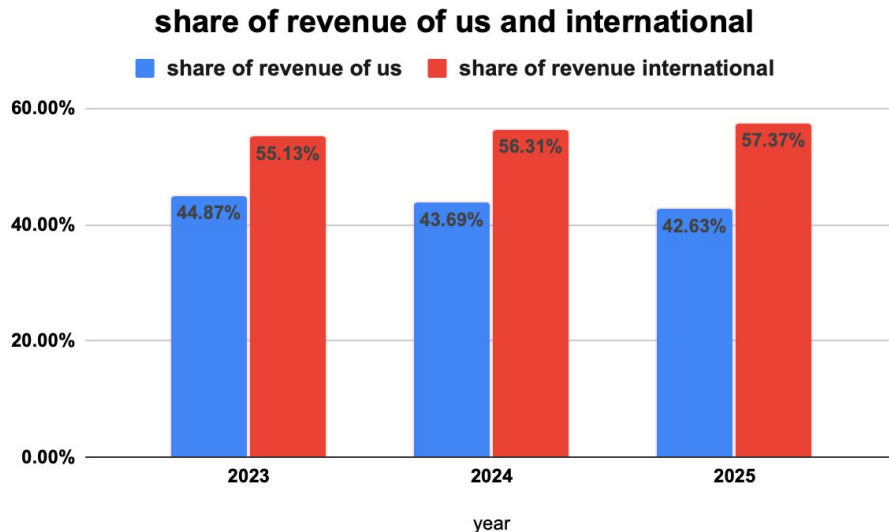


- **Movado Group Inc.** has stable revenues supported by well-known brands and sales in many countries. **Revenue** does not grow fast and depends on consumer spending, as watches are discretionary products. Sales can change from year to year due to economic conditions and shifts between retail and online channels.
- They maintain **strong gross margins**, indicating solid brand strength and pricing power despite some pressure over time. However, **EBITDA margin** has declined significantly, highlighting rising operating costs. This growing gap between **gross and EBITDA margins** suggests that cost efficiency, rather than product profitability, is the key challenge for the company.
- They show volatile **net income** over the period, reflecting the impact of non-operating items such as taxes, one-off charges, and accounting adjustments. As a result, net income fluctuates more than operating metrics and is less indicative of the company's underlying operating performance.



Movado Group Inc. generates revenues from both the **U.S. and international markets**, providing geographic diversification. Over the period shown, total revenue declined, driven mainly by weaker performance in the U.S. market, while international revenues remained relatively stable. This indicates that recent revenue pressure is more region-specific rather than global, highlighting the importance of international markets as a stabilizing factor.

Movado Group Inc. generates the majority of its revenue from international markets, while the U.S. remains the largest single-country market. Over time, the share of U.S. revenue has declined, whereas international markets have increased their contribution. This indicates that recent revenue pressure is mainly U.S.-driven, while international markets provide greater stability and help reduce overall geographic risk.



Forecasts

Income Statement Forecast (thousand \$US)

Income Statement							
Item	FY24	FY25	FY26B	FY27	FY28	FY29	FY30
Revenue	664,389	653,378	664,215	677,499	704,599	739,829	791,617
Revenue growth		-1.7%	1.7%	2.0%	4.0%	5.0%	7.0%
COGS	-300,230	-300,238	-303,911	-309,989	-315,343	-323,712	-338,455
Gross Profit	364,159	353,140	360,304	367,510	389,256	416,117	453,162
Gross Profit (%)	54.8%	54.0%	54.2%	54.2%	55.2%	56.2%	57.2%
Opex	-315,689	-333,125	-333,042	-342,197	-351,605	-361,270	-371,202
Opex (y/y)		5.5%	0.0%	2.7%	2.7%	2.7%	2.7%
Additional Management cost			-3,000	-3,300	-3,630	-3,993	-4,392
D&A	9,644	9,312	9,418	9,458	9,396	9,424	9,426
EBITDA	48,470	20,015	24,262	22,013	34,022	50,854	77,568
EBITDA (%)	7.3%	3.1%	3.7%	3.2%	4.8%	6.9%	9.8%
Net Income	30,663	8,171	5,189	3,853	13,924	27,854	49,689

Each financial year (t) runs from 31st January t-1 to 31st January t. For example FY25 = 31st January 2024 - 31st January 2025. Probably because the Christmas sales period accounts for over half of yearly revenue.

Based on this, we forecast a steady turn-around in EBITDA decreasing over the years through revenue growth and OPEX reduction - for which the latter has previously grown with falling sales.

Even so, net income in FY25 was negative, making it hard to gain any quick-wins for investors, as it will be hard to turn around sales immediately when changes in working capital are negative for 2024 (last reported year).

We Increased EBITDA for 2026, in spite of decline thanks to promising stats from Q1->Q3 2025 (FY26): EBIT was 19,975 - almost the whole of 2024.

Proposed Valuation

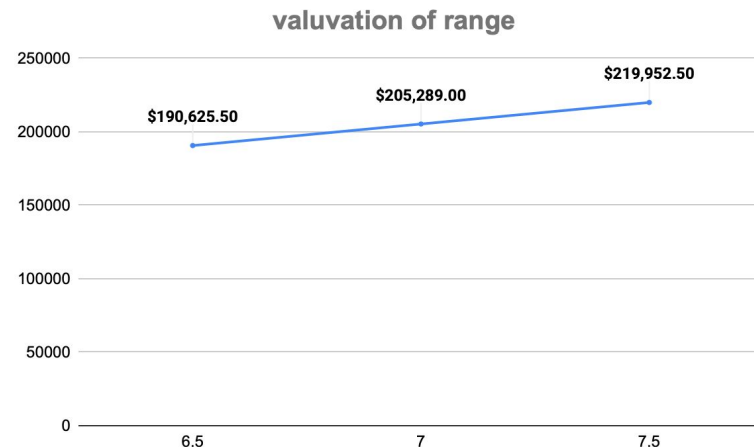
- Although Movado is publicly listed, the valuation is approached from a Private Equity perspective, focusing on a conservative entry price and value creation through cash utilization and exit.

EBITDA (FY2025)	EV / EBITDA	EV	Net debt	Equity value
29,3\$	7x	~205\$ mln	(-208.5\$)	~414\$ mln

Enterprise value is calculated by applying a 7x EV/EBITDA multiple to Movado's FY2025 EBITDA, reflecting the value of the operating business independent of capital structure.

While public peer companies trade at higher valuation multiples, the selected entry multiple reflects a conservative Private Equity approach, taking into account Movado's mature business profile, limited organic growth and the need for a margin of safety at entry.

The valuation range illustrates the sensitivity of enterprise and equity value to entry multiple assumptions and confirms the robustness of the proposed valuation.



Proposed Valuation

Competitors' EV/EBITDA Ratios:

Swatch: 12.66

Fossil: 10.72

Start: 2025 January.

Transaction Analysis

Financing:

Proposed Book Valuation:

- Since this is a company with high seasonal variance in sales, we propose a lock-box valuation.

Source of Funds:

- 60:40 debt to equity, with an equity ticket of XXXX.
- The main problem is rapid EBITDA decline. While revenues are high, it may be hard to find a creditor willing to lend at such poor EBITDA and net income.
- Net Debt:

Assumptions:

- Investment Year: 2025 (FY26).
- 60% debt repayment as bullet - low EBITDA in the beginning, heavy burden.

Exit Strategy

Bottom Line:

Preferred Exit: Trade sale.

Examples:

Breitling: CVC Capital Partners ->

Macro View:

Holding Period: typical 5 year.

Key Value Creation Strategies:

EBITDA is key here, since it is a story of decline. Working capital has been declining over the years, limiting the possibility of a trade sale. There are multiple causes - the most manageable is

Returns calculation (thousand \$US)

Assumptions						
Fund's equity investment (2025)	272,291					
Investment year	2025	31st January				
Exit EV/EBITDA multiple	10.0					
Fund ownership (%)	70%					
Transaction costs at exit (% of EV)	2%					
ESOP (% of EQV at exit)	5%					
Effective Year:	2024	2025	2026	2027	2028	2029
	FY25(31/01/2024-31/01/2025)	FY26	FY27	FY28	FY29	FY30
EBITDA (base for valuation)	20,015	24,262	22,013	34,022	50,854	77,568
100% EV at exit		242,622	220,127	340,218	508,540	775,675
Debt	87,981	79,183	70,385	61,587	52,789	0
Cash	208,501	209,651	207,525	212,990	232,564	229,623
Net debt	-120,520	-130,468	-137,141	-151,403	-179,775	-229,623
Net debt/EBITDA	-6.02	-5.38	-6.23	-4.45	-3.54	-2.96
100% EQV		373,090	357,268	491,621	688,316	1,005,299
Fund's EQV		261,163	250,087	344,135	481,821	703,709
	31/01/2025	31/01/2026	31/01/2027	31/01/2028	31/01/2029	31/01/2030
Fund's Investment	-272,291					
Fund's inflow from sale						703,709
ESOP						-35,185
Transaction costs at exit						-10,859
Total Fund's proceeds	-272,291	0	0	0	0	657,664
MM	2.4					
IRR	19.3%					

Final Recommendation